EMAD BAKERIES

July 2024

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الخليج للاستثمار الإسلامي
Gulf Islamic Investments
| YOUR PARTNER FOR GROWTH |

EMAD BAKERIES: ABOUT COMPANY

Leading Industrial Bakery in Western KSA with Sustainable Expansion Plans ACROSS KSA

Gulf Islamic Investments (GII) acquired a 100% stake in Emad Bakeries (a part of the Green Corp Fund)

About Emad Bakeries

- Founded in **1984** and headquartered in **Jeddah [KSA], EMAD Bakeries** is the **Largest** Industrial Fresh Flatbread Bakery in **Western Saudi Arabia.**
- It specializes in the manufacturing of a **comprehensive portfolio of fresh Arabic bread** including Samoli, Shawarma & Falafel, Lebanese, Shami, Tanouri, Shabourah, Lafash, Tortilla, and Saj.
- It caters to a wide and **diverse customer base** with strong coverage of the **growing HORECA channel** (over 2,600+ customers).

About Gulf Islamic Investments

A leading Shari'ah-compliant global alternative investment firm with over **$4.5 billion** of assets under management across real estate, private equity. and venture capital.

About Green Corp

- A **$150 million** fund managed by GII and mandated to invest in high-growth Food security businesses in the GCC with the aim of creating a platform that spans across the F&B value chain.
- Emad Bakeries is the latest addition to the Fund, boosting its investments in food processing operations.

Investment Rational

- **Fundamentally strong business** with proven history of over **40 years** with consistent financial performance (Revenue of **SAR 99 million** and EBITDA of **34 million** in year 2023).
- **Market leader** in Arabic flat bread in western region of KSA and endeavors to expand in other major markets.
- **High growth potential** by leveraging its **unutilized capacities** by catering into B2B and tendering business; product portfolio expansion; new geography.
- **Strong synergy with Portfolio Companies** in terms of leveraging each others **supply chain** and **distribution channel** and **product innovation**.
- **Strong dividend** generating business with minimal investment in working capital **– strong IPO candidate**

13k sqm Manufacturing Facility

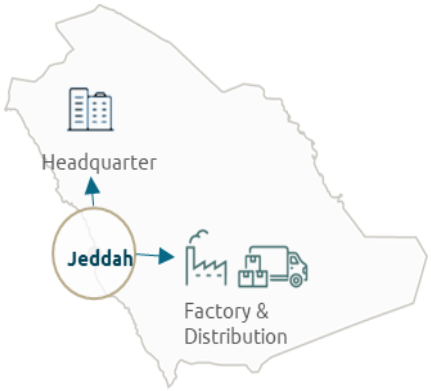
250+ SKUs

1 m Flour bag capacity p.a.

EMAD BAKERIES: BUSINESS OVERVIEW

Largest industrial fresh flatbread bakery in western KSA operating state-of-the-art manufacturing facility

Geographical Presence and Key Figures

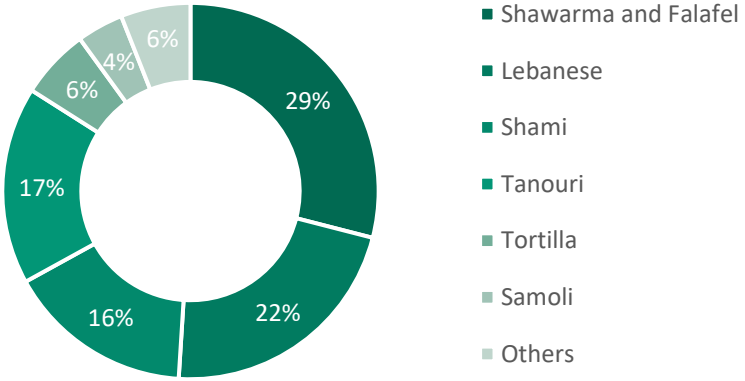


SAR 34m
FY23 EBITDA

SAR 99m
FY22 Net Sales

1 mn
Flour bag capacity p.a.

2023 Production



Wide Product Range consisting of 250+ SKUs

Shawarma & Falafel

Tanouri bread

Lebanese

Shami

Samouli

Saj and Tortilla

Shabourah

Lavash

EMAD BAKERIES: COMPANY MILESTONES

Evolved over 40 years from a small bakery outlet to one of the leading industrial bakeries in Western region

1984
- Opened a bakery, dessert, and grocery outlet (Retail outlet 1)
- Started delivering small quantities of fresh bread to restaurants

1998
- Opened second bakery, dessert and grocery outlet (retail outlet 2)
- Sales to restaurants increased

2003
- Expanded second retail outlet
- Opened first factory (Factory 1)

2008
- Opened second factory (Factory 2)

2009
- Retail outlet 1 is closed due to unreasonable increase in rent

2016
- Retail outlet 2 and factory were closed down due to municipality demolition plan
- Production moved to Factory 2
- Opened new retail outlet (Retail outlet 3)

2017
- Emad purchase a new factory

2019
- Consolidated all production in a newly built factory in Almahjer district
industrial zone, doubling the production capacity

ESTABLISHED OPERATIONS

Integrated Industrial Bakery Operating at 13,000 sqm Facility in KSA

Suppliers

38 Suppliers

Manufacturing

1 Manufacturing Plant in Jeddah (KSA)

Area: 20,000 sqm (13,000 sqm internal)

21 Production lines

250+ SKUs produced daily

Distribution

Exclusive Distribution Partner

End Consumer

HORECA

Restaurants
Hotels
Hospitals
Corporates

RETAIL

Supermarkets
Hypermarkets
Others

Direct Customers

Blue Chip Clients across Channels

Total 3,600+
Customers (2600+ in HORECA)

Select Clientele:

البيك ALBAIK

KARAM BEIRUT

Shrimpy

بندة Panda

LuLu

TOP QUALITY EQUIPMENT FROM INTL MANUFACTURERS

Largest industrial fresh flatbread bakery in western KSA operating state-of-the-art manufacturing facility

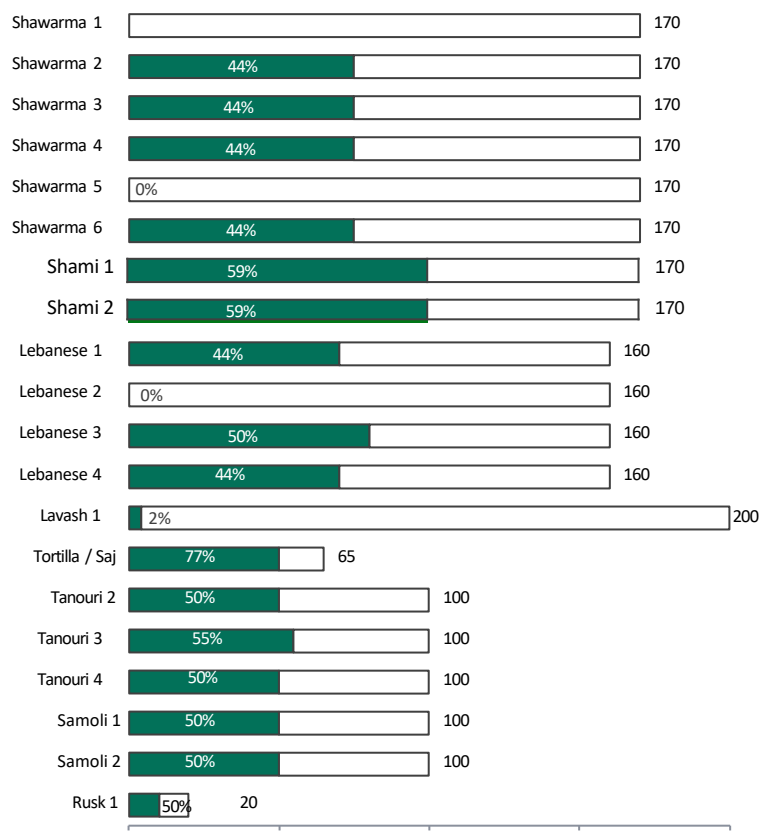
Factory Facts and Figures

- 21 production lines (including new Tortilla line to add
- 180 bags to production capacity in 2023)
- 2,955 flour bags capacity (assuming 20 hours shift per day)
- 35% utilization
- 17 packaging machines
- ISO 22000 certified

Production and packaging lines brands

Quality equipment from US, Germany, Italy, Japan, Canada and Lebanon

Production lines capacity (bags) and utilization (%)



STATE OF THE ART PRODUCTION FACILITIES

13,000 sqm facility in Jeddah with 21 production lines on land size of 20,000 sqm

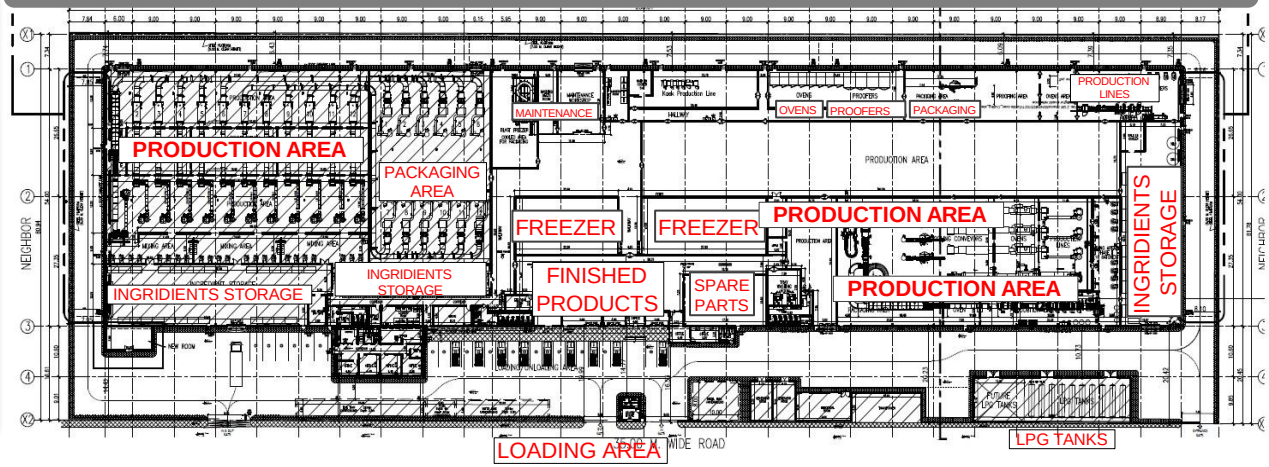
Highlights

1. New factory and production lines largely purchased in 2019 aim to increase automation and reduce production staff count

2. Streamlined production processes designed to maximize output of products

3. Ability to produce new categories (including frozen and long shelf products), benefiting from c. 1,500 sqm of unutilized space

Factory Plan



Production line – Samoli Bread

Production line – Arabic bread

Production line – Shaboura bread

Dough section– Arabic bread

Dough section – Tanouri bread

Oven– Arabic bread

Fermentation & Oven – Samoli

Packaging line – Tanouri

Packaging line – Arabic bread

Raw material warehouse

COMPETITION ANALYSIS

Emad Bakeries is a market leader in the fresh breads category in the western region of KSA

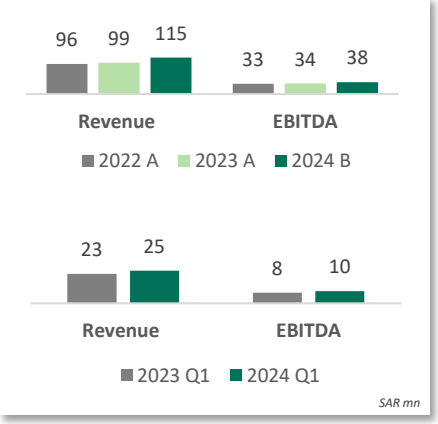
Company	Geographic Reach	Product Range			Channel Focus		Products Range		
		Fresh	Frozen	Long Life	Retail	HORECA	Arabic	Western	Sweets and Pastries
Almarai	Nationwide	✓		✓	✓	✓		✓	✓
Saumi	Nationwide	✓	✓	✓	✓	✓		✓	✓
Al Jazea Bakeries	Nationwide	✓		✓		✓	✓	✓	✓
EMAD	Western Region	✓			✓	✓	✓	✓	✓
Aryaf	Nationwide	✓		✓	✓	✓			
Gulf Catering Co.	Nationwide	✓	✓	✓	✓	✓	✓	✓	✓
HERFY	Nationwide	✓		✓	✓	✓	✓	✓	✓

EMAD BAKERIES: GII VALUE ADD

Emad Bakeries is Undergoing a Seamless Post Acquisition Transition

GII VALUE ADD

Sustained Financial Growth



Institutionalization

Institutionalized Emad Bakeries while ensuring **uninterrupted operations:**

- Formed **Board** for the company
- Improved **reporting procedures**
- Developed a streamlined **SOPs** to ensure **continuity**
- Amended and formalized the **Delegation of Authority**

Operational Efficiencies

- Appointed a **CEO** and a **Finance Manager**
- Identification and implementation of **operational and** cost **efficiencies**
- Preparing and implementing **transformation plan**.
- Created a **tax-efficient structure** to reduce tax leakage

Revenue Expansion

- **Discussions initiated with Distributors** to expand across KSA.
- **Al Baik already requested to supply the products across KSA.**
- In talks with Strategic Partners for **product collaborations** and **offtake arrangements, with potential to increase revenue by 50%+**.

GII's Future Value Add and Growth Strategies

Channel Expansion → Tapping into **new geographic segments** and increasing presence across the different **channels**

Geographic Expansion → Expanding Emad's success in Jeddah by establishing **manufacturing facilities** throughout the **Kingdom**

Product Diversification → Development of **new products** that cater to changing **consumer preferences** and dietary restrictions

Green Corp Synergies → **GII** to unlock **significant synergies** between Emad Bakeries and other **Green Corp Portfolio Companies**

Leading Bakery Across KSA

35% → **+75%** Utilization

34 mn → **53 mn*** EBITDA (SAR)

* Excludes the revenue growth from Strategic Tie-ups

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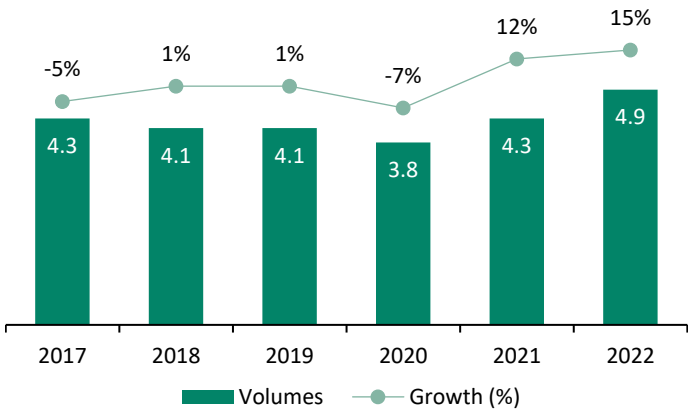
STRONG OUTLOOK FOR THE BAKERY MARKET IN THE KSA

Sales of flat bread and HORECA as a channel will continue to dominate

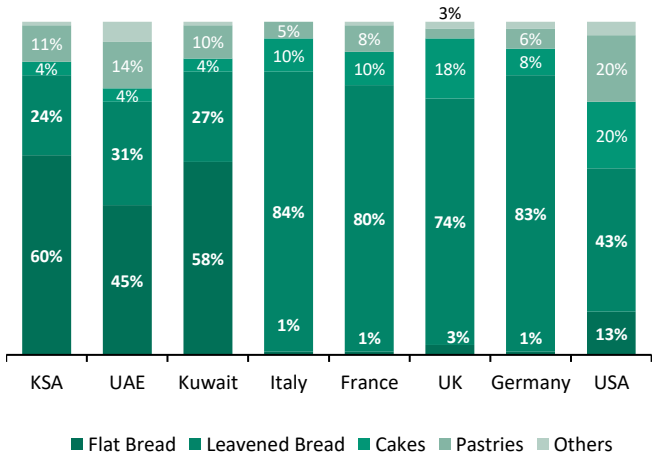
Highlights

- The bakery industry has been steadily growing at 2.4% p.a. over the past 10 years
- The Industry is expected to grow by 5-6% from 2022 to 2027
- In KSA, flatbread continues to dominate the market share compared to other regional and international countries
- Flat bread represents c. 60% of the bakery market in the Western region
- Emad is one of the market leaders in the bakery market in KSA

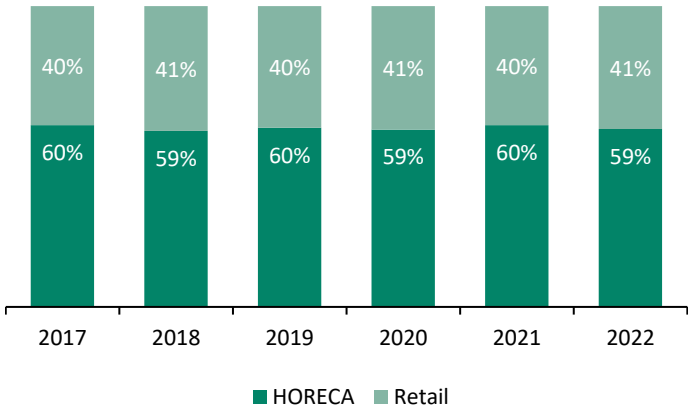
KSA Bakery sector Market (MT mn)



Market by Product Category



KSA Bakery Sector by Channel (%)



- In KSA, the HORECA channel accounts for c.60% of the market size
- Emad has the strongest coverage in the HORECA channel
- Religious and non-religious tourism in the region to drive growth in the channel

EXIT STRATEGIES

Strong IPO Candidate / Acquisition target for Strategic Investors

Exit Strategies

- GII plans to explore the possibility of conducting an **Initial Public Offering (IPO)** or pursuing a **strategic sale** by **2028.**
- Emad Bakeries may be **divested** either **independently** or as part of the **Green Corp fund.**

Capital Market in KSA & UAE

- KSA and UAE continue to be the **most active markets** in the MENA region in terms of both the number and size of IPOs. 13 IPOs were launched in Q2 2023, and all the IPOs were from KSA and UAE.
- KSA and UAE equity markets have **performed better in 2022 and 2023** compared to global indices by **approx. 3%.**
- **Strong pipeline of IPO** in the region for 2nd half of 2023 & 2024 (approval for 23 companies to list and over 100+ applicants in the pipeline).

Strong Acquisition Potential

- Emad/Portfolio companies on the platform are selected considering the government's long-term food security goal.
- Large regional and international conglomerates already started either building capacities or acquiring businesses in the food security space.

Emad Bakeries in 2028

Strong IPO / Strategic target candidate with leadership position in the market and large-scale operations

- **Market Leader** in the Western Province, with a **strong presence across other regions** of KSA
- **Institutionalized business** managed by **professional management.**
- **Offering a diverse range of products**, including **long shelf-life items**, to cater to an extensive market reach.
- **Revenue** to reach **SAR 172 million** by 2028 without factoring the growth strategies. **EBITDA** to reach to **SAR53 million** by 2028**.**
- **Dividend yield** to reach **12%** by 2028 on entry valuation of **SAR 338 million.**
- **Strong financial** and **business outlook** to enter capital markets and to command **premium on multiples**.

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Thank You

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